



March 10, 2025

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Assembly Member Josh Lowenthal
California State Assembly
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RE: Ad Trade Letter in Opposition to California AB 566

Dear Chair Bauer-Kahan, Vice Chair Dixon, and Assembly Member Lowenthal:

On behalf of the advertising industry, we respectfully oppose AB 566 in its current form, and we offer this letter to express a list of concerns about this legislation.¹ We and the companies we represent, many of whom do substantial business in California, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies and responsible industry practices.

California consumers already have access to opt-out preference signals in the marketplace. Consumers can use browsers that enable such signals or download extensions or other technologies that allow them to set such signals. AB 566 is therefore unnecessary. In addition, the bill is ambiguous, would harm competition, and would delegate broad authority to the California Privacy Protection Agency (“CPPA”) to issue regulations for standards that should instead be set by the legislature. The Governor vetoed the same proposal just a few months ago, as the same provisions were proposed as AB 3048.² In vetoing the bill, the Governor expressed concern with “placing a mandate on operating system (OS) developers at this time” and stated that “... it’s best if design questions are first addressed by developers, rather than by regulators.”³ The Assembly’s Privacy and Consumer Protection Committee (“Committee”) should decline to advance the bill any further in the legislative process.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which

¹ California AB 566 (2025-2026 Reg. Sess.), located [here](#).

² Governor Gavin Newsom’s veto letter on AB 3048, located [here](#).

³ *Id.*

accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.⁴ By one estimate, over 1.1 million jobs in California are related to the ad-subsidized Internet.⁵ Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

I. AB 566 Is Ambiguous and Would Harm Competition

As drafted, AB 566 would require browsers to send opt out preference signals to all “businesses with which the consumer interacts *through the browser*.”⁶ This language is ambiguous, as it does not clarify whether signals must also be sent to and effective on the browser itself. Mandating that browsers and mobile operating systems deploy and maintain opt-out preference signals, *effective on all other businesses but the browsers and mobile operating systems themselves*, could create anti-competitive results caused by how these intermediaries implement these requirements. This anti-competitive issue has been raised by regulators in other jurisdictions and should be considered by the legislature in its deliberations of AB 566.⁷ The Committee should decline to approve AB 566 because the bill is ambiguous and would harm competition.

II. AB 566 Tasks the CPPA with Issuing Regulations for Standards that Should be Set by the Legislature

AB 566 would give the CPPA authority to issue regulations as necessary to implement its requirements and to update definitions of key terms such as “browser” and “mobile operating system.”⁸ This grant of regulatory authority is too broad. The California legislature—not an administrative agency—should be the body that sets the foundational premise of who is to be regulated under applicable law. The legislature should not move AB 566 forward because the bill provides little to no direction to guide or restrain the CPPA regarding issues of key significance, such as who is subject to the bill’s terms.

III. AB 566 Ignores Clear Legislative Text, Approved by California Consumers via Ballot Initiative, Making Opt Out Preference Signals Optional Rather than Mandatory

As drafted, AB 566 provides broad regulatory authority that would essentially reward the CPPA for overstepping clear legislative text under the California Consumer Privacy Act of 2020 (“CCPA”) in its regulations to implement that law. The CCPA law itself clearly states that opt out

⁴ John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located [here](#).

⁵ *Id.* at 121-23.

⁶ AB 566, Sec. 1, Cal. Civ. Code § 1798.136(a)(1) (emphasis added).

⁷ Foo Yun Chee, *Apple faces likely French antitrust fine for privacy tool, sources say*, REUTERS (Feb. 27, 2025), located [here](#).

⁸ *Id.* At §§ 1798.136(b), (c), and (d).

preference signals are *optional* for businesses to observe.⁹ Under the law, businesses may either provide a footer link to enable consumers to opt out of sales and sharing or to allow consumers to opt out via an opt-out preference signal. Through regulations, the CPPA turned this option on its head by mandating that businesses *must* honor opt-out preference signals. Through its sponsorship of AB 566, the CPPA looks to further solidify this position by taking its original extralegal interpretation of the CCPA law one step further by mandating that businesses must support opt-out preference signals for all browsers and mobile operating systems. The California legislature should not tolerate or bless state agency regulations that contravene clear provisions in law. The people of California should also not be forced to cede their explicit intentions, as set forth in 2020 in Proposition 24, the ballot initiative that voters approved to enact the current version of CCPA law, to a state agency in this manner.

IV. AB 566 Would Delegate Regulatory Authority to the CPPA at a Time When the Agency Is Already Overburdened with Regulatory Initiatives

AB 566 would delegate to the CPPA additional regulatory authority at a time when the agency is already mired with regulatory processes in several other areas, such as automated decisionmaking technology, regulations to implement the California Delete Act, and updates to existing California Consumer Privacy Act regulations. The California legislature should consider whether adding yet another regulatory directive to the CPPA's agenda, with numerous pending deadlines, would overburden the agency, especially when it already has several other regulatory processes ongoing.

* * *

Thank you in advance for your consideration of this letter and our above list of non-exhaustive issues with the proposed bill. We ask you to refrain from advancing AB 566 further in the legislative process, as its provisions are unnecessary and ambiguous, would harm competition, contravene the intentions of California consumers, and would delegate broad and unchecked regulatory authority to the CPPA.

Sincerely,

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⁹ According to the CCPA, businesses “**may elect**” to either (a) “[p]rovide a clear and conspicuous link on the business’s internet homepages, titled ‘Do Not Sell or Share My Personal Information’” **or** (b) allow consumers to “opt out of the sale or sharing of their personal information... through an opt-out preference signal sent with the consumer’s consent by a platform, technology, or mechanism....” Cal. Civ. Code §§ 1798.135(a), (b), (b)(3). The CCPA therefore gives businesses the choice to either allow consumers to opt out through a do-not-sell link on their homepage(s) or through opt-out preference signals.



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